MERITOCRATIC POLICY PACKAGE

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119th CONGRESS

1st Session

S. ____ / H.R. ____

IN THE SENATE OF THE UNITED STATES / IN THE HOUSE OF REPRESENTATIVES

May ___, 2026

Mr./Ms. _____ introduced the following bill; which was read twice and referred to the Committee on Banking, Housing, and Urban Affairs (Senate) / Committee on Financial Services (House)

A BILL

To establish a national framework for the creation, registration, regulation, and exchange of provenance-backed securities; to protect worker ownership rights in provenance-documented expertise used for artificial intelligence training; to create a Federal Provenance-Backed Securities Office within the Securities and Exchange Commission; and for other purposes.

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

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TITLE I — FINDINGS, PURPOSES, AND DEFINITIONS

SEC. 101. SHORT TITLE.

(a) This Act may be cited as the **"National Provenance-Backed Securities Framework Act of 2027"**.

(b) Table of Contents.—The table of contents of this Act is as follows:

Title	Subject
Title I	Findings, Purposes, and Definitions
Title II	Federal Provenance-Backed Securities Office
Title III	National PBS Registration and Regulation
Title IV	Worker Expertise Ownership and AI Training Royalties
Title V	Agricultural PBS Provisions
Title VI	State Coordination and Preemption
Title VII	International Coordination
Title VIII	Research and Development
Title IX	Enforcement
Title X	Miscellaneous

SEC. 102. CONGRESSIONAL FINDINGS.

The Congress finds the following:

(a) Intangible Asset Dominance.—Intangible assets—including intellectual property, proprietary methodologies, trade secrets, specialized expertise, and data—constitute approximately 90 percent of the total market capitalization of the S&P 500 index and an estimated $74,000,000,000,000 in global asset value, yet no federal securities framework exists for the tokenization and exchange of such assets with verifiable provenance and performance documentation.

(b) Tokenization Market Gap.—The global market for real-world asset tokenization is projected to reach $18,900,000,000,000 by 2033 (Ripple/Boston Consulting Group, 2024), yet this projection overwhelmingly addresses tangible and financial assets and excludes the tokenization of intangible intellectual property, performance-verified expertise, and human capital assets—a category representing the majority of enterprise value in the modern economy.

(c) Workforce Displacement.—The World Economic Forum projects that approximately 92,000,000 jobs will be displaced globally by artificial intelligence and automation by 2030, with worker expertise being extracted, replicated, and deployed by AI systems without meaningful ownership compensation, attribution, or ongoing economic participation by the workers whose knowledge forms the foundation of such systems.

(d) Regulatory Gap.—No existing Federal framework under the Securities Act of 1933 (15 U.S.C. 77a et seq.), the Securities Exchange Act of 1934 (15 U.S.C. 78a et seq.), the Commodity Exchange Act (7 U.S.C. 1 et seq.), or any other Federal statute adequately addresses the registration, regulation, exchange, or investor protection requirements for provenance-backed securities representing tokenized, performance-verified intangible assets with immutable ownership documentation.

(e) State Innovation.—State-level legislative innovation, including the Washington State Provenance-Backed Securities Act and associated

regulatory sandbox programs, has demonstrated the technical and economic viability of provenance-backed securities frameworks and generated empirical data supporting the development of a national regulatory infrastructure.

(f) National Coordination Imperative.—A comprehensive national framework is essential to—

(1) ensure interstate coordination and regulatory consistency in the registration and exchange of provenance-backed securities;

(2) provide robust investor protection standards commensurate with those applicable to other securities classes;

(3) prevent regulatory arbitrage among the several States; and

(4) maintain and enhance the international competitiveness of United States capital markets.

(g) Global Leadership Imperative.—The United States must lead in establishing the global standard for provenance-backed securities regulation, or risk ceding this foundational economic framework to foreign jurisdictions—including the European Union, the United Kingdom, Singapore, and other nations actively developing tokenized asset regulatory regimes—thereby diminishing U.S. capital market competitiveness and surrendering first-mover standard-setting authority in a market projected to exceed trillions of dollars in value.

SEC. 103. PURPOSES.

The purposes of this Act are—

(1) to establish a comprehensive Federal regulatory framework for the creation, registration, regulation, and exchange of provenance-backed securities representing performance-verified intangible assets;

(2) to create the Federal Provenance-Backed Securities Office within the Securities and Exchange Commission to serve as the primary Federal regulator for provenance-backed securities;

(3) to protect the ownership rights of workers in their provenance-documented expertise and to establish a Federal framework for AI training royalties;

(4) to protect investors through comprehensive disclosure, anti-fraud, and suitability requirements specifically designed for provenance-backed securities;

(5) to support independent agricultural breeders and producers through provenance-backed securities structures that provide structural remedies for market concentration;

(6) to coordinate Federal and State regulatory authority through a dual-regulation framework that preserves State innovation while ensuring Federal minimum standards;

(7) to establish the United States as the global leader in provenance-backed securities standard-setting and regulation; and

(8) to promote research and development in performance oracle technology, provenance documentation systems, and related infrastructure.

SEC. 104. DEFINITIONS.

In this Act:

(1) **AI TRAINING ROYALTY.**—The term “AI training royalty” means a payment or series of payments, whether in currency, equity, or other consideration, owed to the owner of provenance-documented expertise when such expertise is used, in whole or in part, to train, fine-tune, calibrate, or otherwise improve an artificial intelligence system, machine learning model, or automated decision-making system.

(2) **COMMISSION.**—The term “Commission” means the Securities and Exchange Commission.

(3) **DIRECTOR.**—The term “Director” means the Director of the Federal Provenance-Backed Securities Office established under section 201.

(4) **EXCHANGE PROTOCOL.**—The term “exchange protocol” means the technical standards, smart contracts, interoperability specifications, and operational

procedures governing the listing, trading, settlement, and clearing of provenance-backed securities on a registered PBS exchange.

(5) FPBSO.—The term "FPBSO" means the Federal Provenance-Backed Securities Office established under title II of this Act.

(6) HUMAN CAPITAL PROVENANCE PORTFOLIO.—The term "human capital provenance portfolio" means a comprehensive, portable, interoperable digital record documenting a worker's verifiable expertise, skills, performance history, training contributions, and professional credentials, maintained in accordance with Federal standards established under section 402.

(7) INTANGIBLE ASSET.—The term "intangible asset" means any non-physical asset of economic value, including but not limited to—

(A) intellectual property, including patents, copyrights, trademarks, and trade secrets;

(B) proprietary methodologies, processes, and techniques;

(C) specialized human expertise, professional knowledge, and documented competencies;

(D) genetic material, including seed genetics and breeding innovations;

(E) data assets, algorithms, and trained models;

(F) brand value, reputation capital, and goodwill; and

(G) any other non-physical asset designated by the FPBSO through rulemaking.

(8) PBS EXCHANGE.—The term "PBS exchange" means any marketplace, platform, facility, or system, whether electronic or otherwise, that brings together buyers and sellers of provenance-backed securities or otherwise facilitates the trading of provenance-backed securities, and that is registered with the FPBSO under section 302.

(9) PBS ISSUER.—The term "PBS issuer" means any person, entity, or organization that creates, issues, or offers provenance-backed securities for sale to the public or to qualified investors, and that is registered with the FPBSO under section 303.

(10) PERFORMANCE ORACLE.—The term “performance oracle” means a system, protocol, or mechanism—whether automated, human-verified, or hybrid—that provides verified, objective, real-time or periodic performance data regarding the underlying intangible asset represented by a provenance-backed security, including quantitative metrics, qualitative assessments, and market comparables, which data is used to inform the valuation and pricing of such security.

(11) PROVENANCE-BACKED SECURITY; PBS.—The term “provenance-backed security” or “PBS” means a digital security—

(A) representing a fractional or whole ownership interest in one or more intangible assets;

(B) whose ownership chain and provenance history are immutably recorded on a distributed ledger or equivalent technology;

(C) whose underlying asset value is periodically verified through a registered performance oracle; and

(D) that is created, registered, and exchanged in compliance with the requirements of this Act.

(12) PROVENANCE LEDGER.—The term “provenance ledger” means a distributed, immutable, and auditable digital record—utilizing blockchain, directed acyclic graph, or equivalent distributed ledger technology—that documents the complete chain of creation, ownership, transfer, licensing, and performance verification of an intangible asset and any provenance-backed securities derived therefrom.

(13) STATE PBS REGULATORY SANDBOX.—The term “State PBS regulatory sandbox” means a program established by a State to allow for the limited, supervised testing of provenance-backed securities products, services, and platforms under modified regulatory requirements, as recognized under section 602 of this Act.

(14) WORKER.—The term “worker” means any individual who performs labor, services, or intellectual contributions in any capacity, including employees, independent contractors, gig workers, consultants, researchers, and any other

individual whose expertise contributes economic value, regardless of classification or employment status.

TITLE II — FEDERAL PROVENANCE-BACKED SECURITIES OFFICE

SEC. 201. ESTABLISHMENT.

(a) In General.—There is established within the Securities and Exchange Commission an office to be known as the “Federal Provenance-Backed Securities Office” (in this Act referred to as the “FPBSO”).

(b) Mission.—The mission of the FPBSO shall be to—

(1) serve as the primary Federal regulator for provenance-backed securities;

(2) protect investors in provenance-backed securities markets;

(3) promote fair, orderly, and efficient markets for provenance-backed securities;

(4) facilitate capital formation through provenance-backed securities; and

(5) coordinate Federal, State, and international regulatory efforts relating to provenance-backed securities.

SEC. 202. DIRECTOR.

(a) Appointment.—The FPBSO shall be headed by a Director, who shall be appointed by the Chair of the Commission, with the concurrence of a majority of the Commissioners, for a term of 5 years.

(b) Qualifications.—The Director shall be an individual who has—

(1) demonstrated expertise in securities law, distributed ledger technology, intangible asset valuation, or related fields;

(2) not fewer than 10 years of professional experience in financial regulation, technology regulation, capital markets, or a combination thereof; and

(3) no financial interest in any registered PBS exchange or PBS issuer at the time of appointment or during the term of service.

(c) Compensation.—The Director shall be compensated at a rate equal to the rate of pay for level III of the Executive Schedule under section 5314 of title 5, United States Code.

(d) Removal.—The Director may be removed by the Chair of the Commission only for cause, including inefficiency, neglect of duty, or malfeasance in office.

SEC. 203. POWERS AND DUTIES.

(a) General Authority.—The FPBSO, acting through the Director, shall have the authority to—

(1) promulgate rules and regulations as necessary to carry out the provisions of this Act, subject to the notice-and-comment rulemaking requirements of section 553 of title 5, United States Code;

(2) register, examine, and oversee PBS exchanges, PBS issuers, performance oracles, and other market participants;

(3) conduct investigations and enforcement actions relating to violations of this Act or rules promulgated thereunder;

(4) coordinate with State securities regulators, the Commodity Futures Trading Commission, the Financial Crimes Enforcement Network, and other Federal agencies as appropriate;

(5) engage with international regulatory bodies, including the International Organization of Securities Commissions (IOSCO), the European Securities and Markets Authority (ESMA), the United Kingdom Financial Conduct Authority (FCA), and the Monetary Authority of Singapore (MAS), to promote regulatory harmonization and mutual recognition;

(6) issue interpretive guidance, no-action letters, and exemptive orders relating to provenance-backed securities; and

(7) assess and collect fees from registered entities as authorized under section 309.

(b) Rulemaking Timeline.—Not later than 18 months after the date of enactment of this Act, the Director shall promulgate final rules implementing the registration and regulatory requirements of titles III and IV of this Act.

SEC. 204. ADVISORY COMMITTEE.

(a) Establishment.—The Director shall establish a PBS Advisory Committee (in this section referred to as the "Committee") to advise the FPBSO on matters relating to the regulation of provenance-backed securities.

(b) Membership.—The Committee shall consist of not fewer than 15 and not more than 21 members, appointed by the Director, representing the following sectors:

(1) Technology and distributed ledger systems;

(2) Agriculture and seed genetics;

(3) Organized labor and worker advocacy;

(4) Academia and research institutions;

(5) Financial services and capital markets;

(6) Consumer protection and investor advocacy; and

(7) State securities regulators.

(c) Term.—Each member of the Committee shall serve for a term of 3 years and may be reappointed for not more than 1 additional term.

(d) Meetings.—The Committee shall meet not fewer than 4 times per calendar year, and shall provide public notice of each meeting not fewer than 30 days in advance. All meetings shall be open to the public unless the Committee determines, by majority vote, that a closed session is necessary to discuss confidential regulatory or enforcement matters.

SEC. 205. COORDINATION WITH EXISTING SEC DIVISIONS.

(a) The FPBSO shall coordinate with the Division of Corporation Finance, the Division of Trading and Markets, the Division of Investment Management, the Division of Enforcement, and the Division of Examinations of the Commission to ensure that the regulation of provenance-backed securities is consistent with, and complementary to, existing Federal securities regulation.

(b) The Director of the FPBSO shall enter into a memorandum of understanding with the director of each division described in subsection (a) to delineate respective authorities, establish information-sharing protocols, and avoid duplicative regulatory burdens on registered entities.

SEC. 206. COORDINATION WITH CFTC.

(a) For provenance-backed securities that reference, derive value from, or are linked to agricultural commodities, energy commodities, or other assets subject to the jurisdiction of the Commodity Futures Trading Commission (in this section referred to as the "CFTC"), the FPBSO shall enter into a joint regulatory agreement with the CFTC.

(b) The joint regulatory agreement shall establish—

(1) clear jurisdictional boundaries between securities regulation by the FPBSO and commodities regulation by the CFTC;

(2) procedures for coordinated examination and enforcement; and

(3) a dispute resolution mechanism for jurisdictional conflicts.

SEC. 207. COORDINATION WITH FINCEN.

(a) The FPBSO shall coordinate with the Financial Crimes Enforcement Network (in this section referred to as "FinCEN") to ensure that all provenance-backed securities activities comply with the Bank Secrecy Act (31 U.S.C. 5311 et seq.), anti-money laundering requirements, and applicable know-your-customer regulations.

(b) The Director shall, not later than 12 months after the date of enactment of this Act, issue guidance on AML compliance obligations specific to PBS exchanges, PBS issuers, and performance oracle operators.

SEC. 208. AUTHORIZATION OF APPROPRIATIONS.

(a) **In General.**—There are authorized to be appropriated to the Commission for the purposes of establishing and operating the FPBSO—

(1) $50,000,000 for fiscal year 2028;

(2) $75,000,000 for fiscal year 2029;

(3) $100,000,000 for fiscal year 2030; and

(4) such sums as may be necessary for each fiscal year thereafter through fiscal year 2035.

(b) **Fee Offset.**—Fees collected under section 309 shall be deposited into the general fund of the Treasury and may be used to offset the appropriations authorized under subsection (a), as determined by the Commission.

TITLE III — NATIONAL PBS REGISTRATION AND REGULATION

SEC. 301. PBS AS RECOGNIZED SECURITIES CLASS.

(a) **Amendment to the Securities Act of 1933.**—Section 2(a)(1) of the Securities Act of 1933 (15 U.S.C. 77b(a)(1)) is amended by inserting “provenance-backed security,” after “investment contract,”.

(b) Amendment to the Securities Exchange Act of 1934.—Section 3(a)(10) of the Securities Exchange Act of 1934 (15 U.S.C. 78c(a)(10)) is amended by inserting “provenance-backed security,” after “investment contract,”.

(c) Treatment.—A provenance-backed security shall be treated as a “security” for purposes of all Federal securities laws, except as otherwise provided in this Act or in rules promulgated by the FPBSO.

SEC. 302. REGISTRATION REQUIREMENTS FOR PBS EXCHANGES.

(a) Registration Required.—No person shall operate a PBS exchange unless such person is registered with the FPBSO under this section.

(b) Application.—An applicant for registration as a PBS exchange shall submit to the FPBSO an application that includes—

(1) the organizational documents of the applicant;

(2) a detailed description of the exchange protocol, including trading, settlement, and clearing procedures;

(3) evidence of minimum capital requirements, as established by rule of the FPBSO, which shall be not less than $10,000,000;

(4) a description of the technology infrastructure, including cybersecurity standards, disaster recovery plans, and system redundancy protocols;

(5) policies and procedures for listing and delisting provenance-backed securities;

(6) market surveillance and anti-manipulation programs;

(7) customer protection procedures, including segregation of customer assets; and

(8) such other information as the Director may require by rule.

(c) Approval.—The FPBSO shall approve or deny an application not later than 180 days after receipt of a complete application. The FPBSO shall approve an application if it finds that the applicant meets all requirements of this section and the rules promulgated thereunder.

(d) Ongoing Compliance.—Each registered PBS exchange shall maintain compliance with all registration requirements on an ongoing basis, and shall submit to examination by the FPBSO not less frequently than once every 2 years.

SEC. 303. PBS ISSUER REGISTRATION.

(a) Registration Required.—No person shall issue or offer provenance-backed securities unless such person is registered with the FPBSO as a PBS issuer under this section, or is exempt under section 304.

(b) Registration Statement.—A registration statement for a PBS issuer shall include—

(1) a detailed description of the underlying intangible asset or assets;

(2) complete provenance documentation, including creation history, ownership chain, and any prior licensing or use;

(3) performance data from a registered performance oracle, covering not less than 12 months of performance history (or such shorter period as the FPBSO may approve for newly created assets);

(4) the methodology used for initial valuation;

(5) risk factors specific to the underlying asset and the PBS structure;

(6) the rights and obligations of PBS holders; and

(7) financial statements of the issuer, prepared in accordance with generally accepted accounting principles.

SEC. 304. EXEMPTIONS.

(a) Small Offerings.—The FPBSO shall, by rule, establish an exemption from the registration requirements of section 303 for offerings of provenance-backed securities with an aggregate offering price not exceeding $5,000,000 during any 12-month period, subject to such conditions and disclosure requirements as the Director determines are necessary for investor protection.

(b) Accredited Investors.—The FPBSO shall, by rule, establish an exemption from certain disclosure and registration requirements for offerings made exclusively to accredited investors (as defined in section 2(a)(15) of the Securities Act of 1933), provided that—

(1) the issuer provides a private placement memorandum containing material information about the PBS and the underlying asset;

(2) the issuer files a notice of exempt offering with the FPBSO; and

(3) general solicitation and advertising restrictions apply, except as modified by FPBSO rule.

(c) State Sandbox Transition.—A PBS issuer that has been operating under a State PBS regulatory sandbox recognized under section 602 may apply for a transitional exemption under this subsection, allowing continued operation for a period not to exceed 24 months while completing Federal registration requirements.

SEC. 305. NATIONAL DISCLOSURE STANDARDS.

(a) Initial Disclosure.—Each PBS issuer shall provide, at the time of offering, a disclosure document that meets the requirements established by the FPBSO and includes, at a minimum—

(1) a plain-language summary of the PBS and the underlying asset;

(2) the provenance history of the underlying asset;

(3) current and historical performance data;

(4) a description of the performance oracle used for valuation;

(5) fee disclosures, including all costs to the investor;

(6) risk factors; and

(7) the rights and obligations of PBS holders.

(b) Ongoing Disclosure.—Each PBS issuer shall provide quarterly reports and annual reports to the FPBSO and to PBS holders, including updated performance data, material events, and audited financial statements.

SEC. 306. ANTI-FRAUD PROVISIONS.

(a) Prohibited Conduct.—It shall be unlawful for any person, in connection with the offer, sale, purchase, or exchange of any provenance-backed security, directly or indirectly—

(1) to employ any device, scheme, or artifice to defraud;

(2) to make any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made not misleading;

(3) to engage in any act, practice, or course of business that operates or would operate as a fraud or deceit upon any person;

(4) to falsify, fabricate, or materially alter provenance documentation;

(5) to manipulate, corrupt, or provide materially false data through a performance oracle; or

(6) to engage in wash trading, matched orders, or other manipulative trading practices involving provenance-backed securities.

(b) Enhanced Penalties for Provenance Fraud.—Any person who knowingly falsifies provenance documentation in connection with a provenance-backed security shall be subject to enhanced penalties under section 902 of this Act.

SEC. 307. INVESTOR PROTECTION.

(a) Suitability Requirements.—Any broker, dealer, or other intermediary that recommends a provenance-backed security to a customer shall have a reasonable basis for believing that the recommendation is suitable for the customer, based on the customer’s investment profile, financial situation, risk tolerance, and investment objectives.

(b) Accreditation Tiers.—The FPBSO shall establish, by rule, a tiered accreditation system for provenance-backed securities, including—

(1) **Tier 1 (General Public)**—PBS offerings with full registration, comprehensive disclosure, and investment limits per investor as established by rule;

(2) **Tier 2 (Qualified Investors)**—PBS offerings available to investors meeting minimum financial sophistication or net worth requirements, with reduced but substantial disclosure; and

(3) **Tier 3 (Institutional)**—PBS offerings available only to institutional investors and accredited investors as defined under Federal securities law, with disclosure requirements tailored to sophisticated market participants.

SEC. 308. RECORDKEEPING AND AUDIT.

(a) Each registered PBS exchange, PBS issuer, and performance oracle operator shall maintain complete and accurate books and records relating to all PBS transactions, provenance documentation, performance data, and customer information for a period of not less than 7 years.

(b) All records shall be maintained in a format that is readily accessible and producible upon request by the FPBSO or other authorized Federal or State regulatory authority.

(c) Each registered PBS exchange shall engage an independent public accounting firm to conduct an annual audit of its operations, financial condition, and technology systems, and shall file the audit report with the FPBSO.

SEC. 309. FEE SCHEDULE.

(a) The FPBSO shall establish, by rule, a schedule of fees applicable to—

(1) PBS exchange registration and annual renewal;

(2) PBS issuer registration and annual renewal;

(3) performance oracle registration;

(4) examination and inspection costs; and

(5) filing fees for registration statements, exemptive applications, and other submissions.

(b) Fees shall be set at levels sufficient to recover the costs of the FPBSO's regulatory activities and shall be subject to periodic adjustment based on market growth and regulatory workload.

TITLE IV — WORKER EXPERTISE OWNERSHIP AND AI TRAINING ROYALTIES

LEGISLATIVE NOTE

This title establishes first-in-the-world Federal protections for worker ownership of provenance-documented expertise used to train artificial intelligence systems. It creates enforceable rights, royalty frameworks, and private causes of action to ensure that the workers whose knowledge powers AI retain economic participation in the value they create.

SEC. 401. NATIONAL WORKER EXPERTISE OWNERSHIP RIGHTS.

(a) **Ownership Rights Established.**—Every worker in the United States shall have a recognized, enforceable ownership interest in their provenance-documented expertise, including but not limited to specialized knowledge, professional techniques, problem-solving methodologies, creative processes, and accumulated professional judgment.

(b) **Non-Waivability.**—No employer, contracting party, or other entity may require, as a condition of employment, engagement, or compensation, that a worker waive, assign, or otherwise relinquish the worker's ownership rights in provenance-documented expertise established under this section. Any such waiver shall be void and unenforceable as against public policy.

(c) **Portability.**—A worker's ownership rights in provenance-documented expertise shall be fully portable and shall survive—

(1) termination of employment or engagement;

(2) expiration of any contract;

(3) the bankruptcy or dissolution of the employer; and

(4) any change in the worker's employment status or classification.

(d) Distinction from Trade Secrets.—Nothing in this section shall be construed to alter the rights of an employer in trade secrets, confidential business information, or proprietary systems under the Defend Trade Secrets Act of 2016 (18 U.S.C. 1836 et seq.) or applicable State law. The ownership rights established under this section apply to the worker's personal expertise, knowledge, and professional judgment—not to specific proprietary information of the employer.

SEC. 402. HUMAN CAPITAL PROVENANCE PORTFOLIO STANDARDS.

(a) Federal Standards.—Not later than 24 months after the date of enactment of this Act, the FPBSO, in consultation with the Department of Labor and the National Institute of Standards and Technology, shall establish Federal standards for human capital provenance portfolios, including standards for—

(1) documentation of worker expertise, skills, competencies, and professional achievements;

(2) verification and attestation of documented expertise by qualified third parties;

(3) portability across employers, industries, and State lines;

(4) interoperability among portfolio platforms, PBS exchanges, and AI training systems;

(5) privacy protections, including worker control over access to portfolio data; and

(6) security standards for the storage and transmission of portfolio data.

(b) Worker Control.—A worker shall have exclusive control over the contents and sharing permissions of the worker's human capital provenance portfolio. No

employer, platform, or other entity may access, copy, or transmit portfolio data without the worker's express, written, and informed consent.

(c) Right to Data Portability.—Every worker shall have the right to export, transfer, or migrate the worker's human capital provenance portfolio to any compliant platform at any time, without fee, penalty, or loss of data integrity.

SEC. 403. AI TRAINING ROYALTY FRAMEWORK.

(a) Royalty Right Established.—When provenance-documented worker expertise is used, in whole or in part, to train, fine-tune, calibrate, validate, or otherwise improve an artificial intelligence system, machine learning model, or automated decision-making system, the worker who owns such expertise shall retain a continuing ownership interest in the AI-generated value attributable to such expertise and shall be entitled to an AI training royalty.

(b) Royalty Calculation.—The FPBSO, in consultation with the Department of Labor and the Federal Trade Commission, shall establish by rule a methodology for calculating AI training royalties, which shall consider—

(1) the proportional contribution of the worker's expertise to the AI system's performance;

(2) the commercial value generated by the AI system;

(3) the duration and scope of the expertise's use in training;

(4) industry-specific benchmarks and comparable licensing rates; and

(5) the number of workers whose expertise contributed to the same AI system.

(c) Mandatory Disclosure by AI Developers.—Any person or entity that develops, trains, or deploys an artificial intelligence system shall—

(1) maintain a complete and auditable record of all training data, including the provenance of any worker expertise used;

(2) disclose to the FPBSO, on a quarterly basis, the provenance-documented expertise used in training, including the identity of contributing workers (subject to privacy protections);

(3) provide each contributing worker with an annual statement detailing the use of the worker's expertise and any royalties owed; and

(4) pay all royalties owed not later than 90 days after the end of each fiscal quarter.

(d) Enforcement.—The AI training royalty requirements of this section shall be enforced—

(1) through civil enforcement actions by the FPBSO under section 901;

(2) through private right of action by aggrieved workers under section 903; and

(3) through coordination with the Department of Labor for workers who are employees.

SEC. 404. EMPLOYER OBLIGATIONS.

(a) Documentation.—Each employer of 50 or more employees shall, not later than 36 months after the date of enactment of this Act—

(1) establish procedures for the documentation of worker expertise in a manner consistent with the standards established under section 402;

(2) provide workers with access to tools and resources necessary to create and maintain human capital provenance portfolios; and

(3) designate a compliance officer responsible for oversight of the employer's obligations under this title.

(b) Disclosure.—Each employer shall provide to each worker, upon hiring and annually thereafter, a written notice describing—

(1) the worker's ownership rights under section 401;

(2) the employer's policies regarding AI training using worker expertise;

(3) any AI training royalties owed to the worker; and

(4) the worker's rights and remedies under this Act.

(c) Compensation.—No employer may use a worker's provenance-documented expertise for AI training without providing fair compensation to the worker, as

determined under the royalty calculation methodology established under section 403(b).

SEC. 405. PENALTIES FOR VIOLATIONS.

(a) Any employer or entity that violates the provisions of this title shall be subject to—

(1) a civil penalty of not more than $100,000 per violation, or $500,000 for a pattern or practice of violations;

(2) an order requiring the payment of all unpaid AI training royalties, plus interest at the rate determined under section 6621 of the Internal Revenue Code of 1986;

(3) injunctive relief; and

(4) payment of reasonable attorney's fees and costs to the prevailing worker in a private enforcement action.

(b) **Retaliation Prohibited.**—No employer or entity may retaliate against a worker for exercising any right under this title, including filing a complaint, cooperating with an investigation, or bringing a private enforcement action.

TITLE V — AGRICULTURAL PBS PROVISIONS

SEC. 501. SEED GENETIC IP AS PBS-ELIGIBLE ASSETS.

(a) **Eligibility.**—Seed genetic intellectual property, including but not limited to proprietary seed varieties, hybrid breeding innovations, genetic trait improvements, and documented breeding methodologies, shall be recognized

as intangible assets eligible for tokenization and issuance as provenance-backed securities under this Act.

(b) Performance Oracle Standards.—Performance oracles for seed genetic PBS shall incorporate field trial data, yield performance metrics, pest and disease resistance measurements, and other agronomic performance indicators as determined by the FPBSO in coordination with the Department of Agriculture.

SEC. 502. USDA COORDINATION.

(a) The FPBSO shall enter into a memorandum of understanding with the Department of Agriculture to—

(1) establish agricultural performance oracle standards that are consistent with existing USDA crop performance evaluation methodologies;

(2) leverage existing USDA data infrastructure, including the National Agricultural Statistics Service, the Agricultural Research Service, and the land-grant university system;

(3) ensure that agricultural PBS do not conflict with existing plant variety protection, plant patent, or other agricultural intellectual property frameworks; and

(4) develop specialized disclosure requirements appropriate for agricultural assets.

SEC. 503. ANTI-COMPETITIVE PROTECTIONS FOR INDEPENDENT BREEDERS.

(a) Findings.—The Congress finds that—

(1) the 4 largest seed companies control approximately 83.9 percent of the United States corn seed market, creating significant barriers to entry for independent breeders;

(2) commercial seed prices have increased approximately 463 percent from 1990 to 2020, placing unsustainable cost burdens on American farmers; and

(3) provenance-backed securities offer a structural remedy for market concentration by enabling independent breeders to access capital markets,

fund breeding programs, and compete on the basis of documented performance rather than corporate scale.

(b) Structural Remedies.—The FPBSO, in coordination with the Department of Justice Antitrust Division and the Federal Trade Commission, shall ensure that agricultural PBS frameworks—

(1) provide equitable access for independent breeders to PBS exchanges and capital markets;

(2) prevent dominant market participants from using PBS structures to further consolidate market power;

(3) establish reduced registration fees and streamlined registration processes for independent breeders with annual revenues below $10,000,000; and

(4) require PBS exchanges listing agricultural PBS to maintain fair access policies that do not discriminate based on issuer size.

SEC. 504. RESEARCH GRANTS.

(a) There are authorized to be appropriated $25,000,000 for each of fiscal years 2028 through 2033 for competitive grants, to be administered jointly by the FPBSO and the National Institute of Food and Agriculture, for—

(1) the development of agricultural performance oracle technology;

(2) pilot programs for agricultural PBS issuance by independent breeders and farmer cooperatives;

(3) integration of PBS infrastructure with existing agricultural data systems; and

(4) economic impact studies of agricultural PBS on market competition and farmer welfare.

SEC. 505. INTEGRATION WITH USDA SEED CERTIFICATION PROGRAMS.

(a) The FPBSO and the Department of Agriculture shall develop procedures for integrating provenance documentation for seed genetic PBS with existing

USDA seed certification programs, including the Federal Seed Act (7 U.S.C. 1551 et seq.) and the Plant Variety Protection Act (7 U.S.C. 2321 et seq.).

(b) Such integration shall ensure that provenance ledger records are consistent with, and may serve as supplements to, existing certification documentation.

TITLE VI — STATE COORDINATION AND PREEMPTION

SEC. 601. FEDERAL-STATE DUAL REGULATION FRAMEWORK.

(a) Dual Regulation.—Provenance-backed securities shall be subject to both Federal regulation under this Act and State securities regulation under applicable State law, in a manner consistent with the dual-regulation framework applicable to other securities under the National Securities Markets Improvement Act of 1996 (Public Law 104–290).

(b) State Authority Preserved.—Nothing in this Act shall be construed to limit the authority of any State to—

(1) require the registration or qualification of provenance-backed securities offered or sold within the State, subject to the limitations of section 603;

(2) investigate and bring enforcement actions for fraud in connection with provenance-backed securities offered or sold within the State; or

(3) require the licensing of brokers, dealers, and other intermediaries dealing in provenance-backed securities within the State.

SEC. 602. RECOGNITION OF STATE PBS REGULATORY SANDBOXES.

(a) The FPBSO shall establish a process for the recognition of State PBS regulatory sandboxes that meet minimum Federal standards, including—

(1) investor protection requirements substantially equivalent to Federal standards;

(2) adequate State supervisory capacity;

(3) reporting requirements to both the State regulator and the FPBSO; and

(4) clear exit criteria and transition pathways to full Federal registration.

(b) Entities operating within a recognized State sandbox may offer provenance-backed securities within that State without Federal registration, subject to compliance with the sandbox's terms and conditions and the anti-fraud provisions of this Act.

SEC. 603. LIMITED PREEMPTION.

(a) **Floor Preemption.**—No State may adopt or enforce any law, rule, or regulation relating to provenance-backed securities that provides less protection to investors, workers, or the public than the minimum standards established by this Act and the rules promulgated thereunder.

(b) **Additional Protections.**—Nothing in this Act shall prevent a State from adopting or enforcing laws, rules, or regulations that provide greater protection to investors, workers, or the public than the minimum Federal standards, provided such State requirements do not—

(1) impose an undue burden on interstate commerce;

(2) conflict with specific Federal requirements established under this Act; or

(3) discriminate against out-of-state PBS issuers or exchanges.

SEC. 604. INTERSTATE COMPACT AUTHORIZATION.

(a) The consent of Congress is hereby given for any 2 or more States to enter into interstate compacts for the coordinated regulation of provenance-backed securities, including agreements relating to mutual recognition of State registrations, coordinated examinations, and information sharing.

(b) Any interstate compact entered into under this section shall be consistent with the minimum Federal standards established under this Act.

SEC. 605. TRANSITION FOR EXISTING STATE FRAMEWORKS.

(a) **Grandfather Clause.**—Any State that has enacted legislation establishing a regulatory framework for provenance-backed securities prior to the date of enactment of this Act, including the State of Washington, shall be permitted to continue operating its existing framework for a transition period of 36 months from the date of enactment, during which time the State shall bring its framework into compliance with the minimum Federal standards established under this Act.

(b) **Expedited Recognition.**—States with existing PBS frameworks shall receive expedited consideration for recognition of their regulatory sandboxes under section 602 and for any applications for interstate compact approval under section 604.

TITLE VII — INTERNATIONAL COORDINATION

SEC. 701. INTERNATIONAL REGULATORY ENGAGEMENT.

(a) The FPBSO shall engage with international regulatory bodies, including—

(1) the International Organization of Securities Commissions (IOSCO);

(2) the European Securities and Markets Authority (ESMA);

(3) the United Kingdom Financial Conduct Authority (FCA);

(4) the Monetary Authority of Singapore (MAS); and

(5) such other foreign regulatory authorities as the Director determines appropriate.

(b) The purpose of such engagement shall be to—

(1) promote the adoption of provenance-backed securities regulatory standards consistent with United States frameworks;

(2) negotiate mutual recognition agreements;

(3) coordinate cross-border enforcement; and

(4) establish the United States as the standard-setting authority for provenance-backed securities regulation globally.

SEC. 702. MUTUAL RECOGNITION.

(a) The FPBSO may enter into mutual recognition agreements with foreign regulatory authorities for the recognition of foreign PBS exchanges and PBS issuers, provided that the foreign jurisdiction maintains regulatory standards that are substantially equivalent to those established under this Act, including—

(1) investor protection and disclosure requirements;

(2) provenance documentation and performance oracle standards;

(3) anti-fraud and market manipulation provisions;

(4) AML and sanctions compliance; and

(5) enforcement capacity and cooperation commitments.

SEC. 703. EXPORT CONTROL CONSIDERATIONS.

(a) The FPBSO, in coordination with the Bureau of Industry and Security of the Department of Commerce and the Committee on Foreign Investment in the United States (CFIUS), shall establish procedures to ensure that provenance-backed securities representing sensitive technologies, dual-use technologies, or national security-related intangible assets are subject to appropriate export control review.

(b) No PBS representing a controlled technology may be offered, sold, or transferred to a person or entity in a country subject to comprehensive U.S. sanctions without the prior authorization of the Office of Foreign Assets Control.

SEC. 704. AML AND SANCTIONS COMPLIANCE FOR CROSS-BORDER TRANSACTIONS.

(a) All cross-border transactions involving provenance-backed securities shall comply with the Bank Secrecy Act, the USA PATRIOT Act, and all applicable sanctions programs administered by the Office of Foreign Assets Control.

(b) Registered PBS exchanges that facilitate cross-border transactions shall implement enhanced due diligence procedures, including verification of the identity and sanctioned status of all counterparties.

TITLE VIII — RESEARCH AND DEVELOPMENT

SEC. 801. NATIONAL PBS RESEARCH PROGRAM.

(a) The Director of the National Science Foundation, in coordination with the FPBSO, shall establish a National PBS Research Program to fund basic and applied research in—

(1) performance oracle technology, including accuracy, reliability, and tamper-resistance;

(2) provenance documentation systems, including privacy-preserving verification;

(3) intangible asset valuation methodologies;

(4) distributed ledger scalability and interoperability; and

(5) economic impact of provenance-backed securities on labor markets, capital formation, and innovation.

(b) Authorization.—There are authorized to be appropriated to the National Science Foundation $30,000,000 for each of fiscal years 2028 through 2035 for the purposes of this section.

SEC. 802. UNIVERSITY PARTNERSHIP GRANTS.

(a) The FPBSO, in coordination with the National Science Foundation, shall establish a competitive grant program for institutions of higher education to—

(1) develop and test performance oracle systems for specific asset classes;

(2) conduct interdisciplinary research combining computer science, economics, law, and domain-specific expertise;

(3) train the next generation of PBS professionals through curriculum development and graduate fellowships; and

(4) establish PBS research centers at land-grant universities, with particular emphasis on agricultural applications.

(b) Authorization.—There are authorized to be appropriated $15,000,000 for each of fiscal years 2028 through 2033 for the purposes of this section.

SEC. 803. GAO AND CBO REPORTING REQUIREMENTS.

(a) GAO Report.—Not later than 3 years after the date of enactment of this Act, and every 2 years thereafter for a period of 10 years, the Comptroller General of the United States shall submit to the Committee on Banking, Housing, and Urban Affairs of the Senate and the Committee on Financial Services of the House of Representatives a report evaluating—

(1) the effectiveness of the FPBSO in carrying out its mission;

(2) the growth and development of provenance-backed securities markets;

(3) the impact of this Act on worker expertise ownership and AI training royalties;

(4) the adequacy of investor protections; and

(5) recommendations for legislative or regulatory changes.

(b) CBO Analysis.—The Congressional Budget Office shall include in its annual budget and economic outlook a section analyzing the fiscal impact of provenance-backed securities markets, including projected fee revenues, economic activity, and tax implications.

SEC. 804. NIST ANNUAL TECHNOLOGY ASSESSMENT.

(a) The Director of the National Institute of Standards and Technology shall conduct an annual assessment of the technology infrastructure supporting provenance-backed securities, including—

(1) the security and integrity of provenance ledger systems;

(2) the accuracy and reliability of performance oracle systems;

(3) cybersecurity threats and vulnerabilities;

(4) interoperability standards and gaps; and

(5) recommendations for technology standards updates.

(b) The annual assessment shall be submitted to the FPBSO, the Commission, and the relevant committees of Congress not later than March 31 of each year.

TITLE IX — ENFORCEMENT

SEC. 901. CIVIL ENFORCEMENT BY FPBSO.

(a) Authority.—The FPBSO shall have the authority to bring civil enforcement actions in the United States district courts against any person who violates, or is reasonably likely to violate, any provision of this Act or any rule or order promulgated thereunder.

(b) Remedies.—In any civil enforcement action brought under this section, the court may—

(1) issue temporary restraining orders, preliminary injunctions, and permanent injunctions;

(2) order disgorgement of profits obtained through the violation;

(3) impose civil monetary penalties of not more than $1,000,000 per violation for individuals and $10,000,000 per violation for entities;

(4) order restitution to injured investors or workers;

(5) bar individuals from serving as officers or directors of registered PBS entities; and

(6) revoke or suspend the registration of any PBS exchange, PBS issuer, or performance oracle operator.

(c) Administrative Proceedings.—The FPBSO may also initiate administrative proceedings to impose sanctions, including cease-and-desist orders, censures, and registration suspensions, subject to the procedural requirements of the Administrative Procedure Act (5 U.S.C. 551 et seq.).

SEC. 902. CRIMINAL PENALTIES.

(a) PBS Fraud.—Any person who willfully violates the anti-fraud provisions of section 306 of this Act shall be fined not more than $5,000,000, or imprisoned not more than 20 years, or both.

(b) Provenance Fraud.—Any person who knowingly falsifies, fabricates, or materially alters provenance documentation in connection with a provenance-backed security shall be fined not more than $10,000,000, or imprisoned not more than 25 years, or both. Enhanced penalties under this subsection reflect the foundational role of provenance integrity in the PBS framework.

(c) Oracle Manipulation.—Any person who knowingly manipulates, corrupts, or provides materially false data through a performance oracle shall be fined not more than $5,000,000, or imprisoned not more than 15 years, or both.

(d) Attempt and Conspiracy.—Any person who attempts or conspires to commit any offense described in this section shall be subject to the same penalties as prescribed for the completed offense.

SEC. 903. PRIVATE RIGHT OF ACTION.

(a) Standing.—Any person who suffers an injury in fact as a result of a violation of this Act, including any investor in provenance-backed securities and any worker whose expertise ownership rights have been violated, may bring a civil action in any court of competent jurisdiction.

(b) Remedies.—In any action brought under this section, the court may award—

(1) actual damages or, in cases of willful violation, treble damages;

(2) equitable relief, including injunctive relief and specific performance;

(3) reasonable attorney’s fees, expert witness fees, and costs of litigation; and

(4) such other relief as the court determines to be just and proper.

(c) Statute of Limitations.—An action under this section shall be commenced not later than 3 years after the date on which the plaintiff knew or should have known of the violation, but in no event more than 6 years after the date of the violation.

(d) Class Actions.—Actions under this section may be maintained as class actions in accordance with Rule 23 of the Federal Rules of Civil Procedure.

SEC. 904. WHISTLEBLOWER PROTECTIONS AND BOUNTY PROGRAM.

(a) Whistleblower Protections.—No employer, PBS exchange, PBS issuer, or other entity may discharge, demote, suspend, threaten, harass, or in any manner discriminate against a whistleblower in the terms and conditions of employment or engagement because of any lawful act done by the whistleblower in providing information to the FPBSO, assisting in an investigation, or testifying in any proceeding relating to a violation of this Act.

(b) Bounty Program.—The FPBSO shall establish a whistleblower bounty program, modeled on the SEC whistleblower program established under section 21F of the Securities Exchange Act of 1934 (15 U.S.C. 78u-6), under which—

(1) any whistleblower who voluntarily provides original information to the FPBSO that leads to a successful enforcement action resulting in monetary sanctions exceeding $1,000,000 shall be entitled to an award of not less than 10 percent and not more than 30 percent of the monetary sanctions collected; and

(2) the FPBSO shall establish a Whistleblower Award Fund, funded by a portion of the monetary sanctions collected in enforcement actions.

SEC. 905. DOJ COORDINATION.

(a) The FPBSO shall refer matters involving suspected criminal violations of this Act to the Department of Justice for investigation and prosecution.

(b) The Attorney General shall designate personnel within the Criminal Division and appropriate United States Attorney’s offices to specialize in the prosecution of PBS-related crimes, including provenance fraud, oracle manipulation, and market manipulation.

TITLE X — MISCELLANEOUS

SEC. 1001. SEVERABILITY.

(a) If any provision of this Act, or the application of such provision to any person or circumstance, is held to be unconstitutional or otherwise invalid, the remainder of this Act, and the application of such provision to other persons and circumstances, shall not be affected thereby.

SEC. 1002. EFFECTIVE DATE.

(a) **General.**—Except as otherwise provided in this Act, this Act shall take effect on the date that is 180 days after the date of enactment of this Act.

(b) **Rulemaking.**—The rulemaking deadlines established in this Act shall be calculated from the date of enactment, notwithstanding the general effective date in subsection (a).

(c) **Phased Implementation.**—The FPBSO may implement the requirements of this Act in phases, provided that full implementation is achieved not later than 36 months after the date of enactment.

SEC. 1003. SUNSET AND REAUTHORIZATION.

(a) **Sunset.**—The authority of the FPBSO under this Act shall terminate 10 years after the date of enactment, unless reauthorized by Act of Congress.

(b) **Reauthorization Report.**—Not later than 18 months before the sunset date established in subsection (a), the Commission shall submit to Congress a comprehensive report on the operations of the FPBSO, the state of provenance-backed securities markets, and a recommendation regarding reauthorization.

SEC. 1004. GAO STUDY.

(a) Not later than 3 years after the date of enactment of this Act, the Comptroller General of the United States shall complete and submit to Congress a comprehensive study evaluating—

(1) the implementation and effectiveness of this Act;

(2) the growth, size, and liquidity of provenance-backed securities markets;

(3) the impact of the AI training royalty framework on workers, employers, and AI developers;

(4) the impact of agricultural PBS on independent breeders, market competition, and seed prices;

(5) the effectiveness of Federal-State coordination under title VI;

(6) the international competitive position of the United States in provenance-backed securities;

(7) any unintended consequences or market distortions resulting from this Act; and

(8) recommendations for legislative amendments or regulatory changes.

SEC. 1005. CONGRESSIONAL REPORTING.

(a) **Annual Report.**—The Director shall submit to the Committee on Banking, Housing, and Urban Affairs of the Senate and the Committee on Financial Services of the House of Representatives an annual report on the activities of the FPBSO, including—

(1) the number of registered PBS exchanges, PBS issuers, and performance oracle operators;

(2) the total market capitalization and trading volume of provenance-backed securities;

(3) enforcement actions taken and penalties assessed;

(4) the status of AI training royalty collection and distribution;

(5) international coordination activities and mutual recognition agreements; and

(6) legislative and regulatory recommendations.

(b) Congressional Testimony.—The Director shall testify before the relevant committees of Congress not less frequently than once per year regarding the state of provenance-backed securities regulation and markets.

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DRAFTING NOTE

This bill is presented as a policy framework draft for public discussion and legislative consideration. It is designed to complement the broader Meritocratic Policy Package and should be read in conjunction with Documents 1–3 and 5–7 of the package. Technical amendments, conforming changes to existing Federal statutes, and committee markup revisions are anticipated prior to formal introduction.

Meritocratic Policy Package

Document 4 of 7 — National Provenance-Backed Securities Framework Act

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